partnership continues, he must account for a share of the profits (*i*). But as profits arise not only from *capital*, but also from * the application of skill and industry, and other ingredients (*a*), while in former times the Court, from the difficulty of taking the account, often gave interest only (*b*); yet, at the present day, the Court will direct an account of profits, *having regard* to the various ingredients of capital, skill, industry, &c., or will comprise them under the head of "*just allowances*" (*c*). [*278]

8. **Traders not partners.** — Where the trader stands in no fiduciary situation, as where he is neither trustee nor executor, nor was the partner of the testator, but trust monies come to his hands *bonâ fide*, though with a knowledge of the trust, that is, of the breach of trust (as where a trustee or executor lends money without authority to a trader), here the trader, though answerable for principal and interest, is not made to account for the extra profits (*d*). And if a person was in fact a partner with the testator but without knowing it (*e*), or has *bonâ fide* settled the partnership accounts (*f*), he will be equally protected as if he had not been such partner. And if the terms of the partnership be that on the death of any partner his share shall be taken by

(*i*) In Knox *v.* Gye, 5 L. R. H. L. 656, Lord Westbury denied that any fiduciary relation existed between the surviving partner, and the representative of the deceased partner, but Lord Hatherley was clearly of opinion to the contrary. See the arguments of these judges *pro* and *con* in the report. The surviving partner has, no doubt, larger powers than an ordinary trustee, for as between him and third persons he can sign a valid receipt for an outstanding asset, and being personally liable for the debts, he may be able to give a good title on sale of the partnership property, the presumption being that such realization is wanted for payment of debts; but it seems a strong measure to lay down, that the surviving partner is not to account for what he receives after the expiration of six years from the death of his copartner.

(*a*) See Vyse *v.* Foster, 8 L. R. Ch. App. 331; affirmed, 7 L. R. H. L. 318.

(*b*) See the observations in Docker *v.* Somes, 2 M. & K. 662.

(*c*) Brown *v.* De Tastet, Jac. 284; Willett *v.* Blanford, 1 Hare, 253.

(*d*) Stroud *v.* Gwyer, 28 Beav. 130; Townend *v.* Townend, 1 Giff. 210; Simpson *v.* Chapman, 4 De G. M. & G. 154; Macdonald *v.* Richardson, 1 Giff. 81. See Flockton *v.* Bunning, 8 L. R. Ch. App. 323, note (6).

(*e*) Brown *v.* De Tastet, Jac. 284.

(*f*) Chambers *v.* Howell, 11 Beav. 6. And in *Ex parte* Watson, 2 Ves. & B. 414, Lord Eldon seems to speak of *partners* taking with notice, as *debtors* for the money, as if it had been placed with them by way of direct loan.